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General Knowledge
Modern History

STUDY NOTES

British East India Company

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Introduction

- The **British East India Company (EIC)** was founded in **1600** as a joint-stock company by **Queen Elizabeth I's royal charter**, allowing it exclusive rights to trade in the East Indies.
- Its main purpose was to break into the lucrative **Asian spice trade**, which was previously dominated by the Portuguese and the Dutch.
- Over time, the Company shifted from a trading entity to a powerful political and military force.

Foundation and Early Days

- The East India Company was established on **December 31, 1600**, with the full title of **"The Governor and Company of Merchants of London Trading into the East Indies."**
- **Initial Objectives:** To engage in trade in **silks, spices, tea, cotton, and other goods** from the East Indies. The initial focus was trade, not territorial expansion.
- **Early Voyages:**
  - **The first voyage set sail in 1601 under James Lancaster, reaching Sumatra and Java.**

- The EIC established its **first factory (trading post) in Surat, India, in 1612** after gaining permission from **Mughal Emperor Jahangir**.

Expansion in India

- Over time, the Company began to wield political and military power.

- **The Battle of Plassey in 1757 was a key turning point, where Robert Clive led the EIC to victory over the Nawab of Bengal, Siraj-ud-Daulah.**
- **This established the Company's dominance in Bengal.**

Expansion through Subsidiary Alliances:

- The Company expanded through alliances, where Indian rulers maintained control over their states but had to host British troops and accept British advisors, gradually losing autonomy.
- The **concept of Subsidiary Alliances** was a key strategy used by the British East India Company to expand its influence and control in India **during the late 18th and early 19th centuries**. This policy was most notably formulated by **Lord Wellesley**, the British Governor-General of India from 1798 to 1805.

Indian rulers were required to:

- **Maintain a British military force** in their kingdom, at their own expense.
- **Accept a British Resident** (or advisor) at their court, which meant they had to follow British advice in administrative and military matters.
- Refrain from entering into any treaties with other powers (including other Indian rulers) without the approval of the British.

Administrative and Economic Policies

- The EIC imposed systems like the **Permanent Settlement** of Bengal in 1793 under **Lord Cornwallis**, which fixed revenue and created a new class of landlords (zamindars). Other systems included the Ryotwari and Mahalwari, used in Madras and the north, respectively.

Permanent Settlement of Bengal (1793):

- The Permanent Settlement was introduced by **Lord Cornwallis in 1793**, fixing the state's land revenue demand permanently without providing fixed rent or occupancy rights to actual cultivators.
- Land revenue was collected from farmers by intermediaries known as **Zamindars**.
- The government's share of the land revenue was set at **10/11th**, with the remaining portion going to the zamindars.
- The system aimed to create a loyal class of landowners to improve agricultural production and simplify tax collection for the state.
- It was most prevalent in regions such as **West Bengal, Bihar, Odisha, Uttar Pradesh, Andhra Pradesh, and Madhya Pradesh.**
- The system led to the increased impoverishment of tenant-cultivators due to high assessments, causing many zamindars to lose their lands and contributing to the rise of intermediaries, which worsened the plight of peasants.

Ryotwari System (1790s):

- The Ryotwari system was introduced by **Alexander Read** in the **Madras Presidency**, collecting revenue directly from the cultivators and recognizing them as **landowners**.
- Under this system, individual cultivators, known as **ryots**, had full rights over the sale, transfer, and leasing of their land.
- Ryots could not be evicted from their land as long as they paid their rent.
- The system was initially implemented in **Tamil Nadu** and later expanded to regions like **Maharashtra, Berar, East Punjab, Coorg, and Assam.**
- A key advantage of the Ryotwari system was the **removal of middlemen**, reducing exploitation of farmers.

Mahalwari System (1822):

- In **1822**, Englishman **Holt Mackenzie introduced the Mahalwari System** in the North Western Provinces of the Bengal Presidency, mainly in present-day Uttar Pradesh.
- Under this system, land revenue was collected by village headmen on behalf of the entire village, instead of being collected through zamindars.
- The village was organized into a larger unit called a "**Mahal**," which was treated as a single entity for land revenue payments.
- The revenue under the Mahalwari System was subject to periodic revision, rather than being fixed permanently.
- The **system gained popularity under Lord William Bentinck in Agra and Awadh** and was later extended to **Madhya Pradesh and Punjab.**

Monopolistic Trade Practices:

- The East India Company was granted monopolies over key **Indian commodities such**

as salt, tea, and opium.

- It controlled the trade of spices, cotton, and silk, often dictating prices that benefitted British interests.
- Opium Trade:
  - The Company traded opium produced in India to China, leading to the Opium Wars and massive profits.
  - This trade undermined local econom**ies in India and China and contributed to widespread addiction.**

Exploitation of Indian Resources

- **Indigo Plantations:**
  - **The EIC established indigo plantations in Bengal and other parts of India, forcing peasants to grow indigo instead of food crops.** The Company monopolized the indigo trade, leading to exploitation.
  - **Indigo Rebellion of 1859-60:** Peasants revolted against the exploitative practices of the Company in forcing them to grow indigo under poor conditions.
- **Cotton and Jute:**
  - India was used as a major supplier of raw cotton, jute, and other materials to Britain, which were processed into finished goods.
  - The **cotton industry in India suffered due to the large-scale export of cotton** to Britain

Role of the British East India Company in Indian Society

The British East India Company, while initially a trading entity, gradually expanded its influence in cultural, religious, and social spheres, significantly altering the fabric of Indian society. The changes it introduced were a mixture of imposition, adaptation, and some positive reforms. However, the overall effect of these interventions was often seen as disruptive, exploitative, and, at times, paternalistic

Cultural Influence

- **Western Education and English Language:**
  - The East India Company played a key role in establishing a Western-style education system in India, primarily through missionary schools, and later through British-run institutions like **Calcutta University (established in 1857).**

- This shift led to the rise of a new middle class, educated in the Western tradition, which became instrumental in the Indian Renaissance and later in Indian nationalism.
- **Macaulay's Minute on Education (1835):** Lord Macaulay advocated for the promotion of English education, which would create a class of educated Indians who would serve as intermediaries between the British and the Indian masses.

- **Impact on Indian Art and Literature:**
  - The British brought European artistic ideals that influenced Indian painting, architecture, and literature. For instance, **Company Painting** developed as a fusion of European techniques and Indian subjects.
  - **Western Literature and Thought**: British influence led to the translation of many works of European literature into Indian languages, including Shakespeare and the works of various philosophers.
  - **Social Reform Movements:** Western ideas of rationalism and human rights contributed to the rise of social reform movements in India, which sought to challenge traditional practices like sati, child marriage, and the caste system.
- **Decline of Traditional Industries:**
  - British economic policies led to the decline of traditional Indian industries such as **textiles, handlooms, and crafts** due to the import of cheap British manufactured goods.
  - The **artisanal classes (weavers, dyers, and potters)** lost their livelihoods, contributing to economic decline for large sections of society.
  - The spread of British culture also saw the gradual decline of local Indian languages in favor of English and European-inspired ideologies

Religious Influence

- **British Religious Policy:**
  - Initially, the East India Company adopted a policy of non-interference in religious matters, allowing the practice of Hinduism, Islam, and other local traditions.
  - **Christian Missionaries:** The arrival of missionaries in India, supported by the Company, led to the spread of Christianity through schools, orphanages, and medical centres.
  - **Religious Reforms:** The British encouraged reforms that were intended to "modernise" or "civilize" Indian religious practices, such as the **abolition of Sati (widow burning) by Lord William Bentinck in 1829**, the promotion of widow remarriage, and the regulation of child marriage.
- **The Hindu Reform Movements:**
  - **Raja Ram Mohan Roy:** One of the most prominent figures of the time, he

advocated for social reforms and the application of rationalism to religious beliefs. Roy's efforts to promote monotheism, abolish Sati, and encourage female education were influenced by both Hindu traditions and Western ideas.

- **The Brahmo Samaj (established by Roy in 1828) sought to purify Hinduism by discarding what were seen as superstitious practices.**
- **Other reformers like Swami Vivekananda and Ishwar Chandra Vidyasagar continued these efforts, calling for a modern, rational, and social reformist interpretation of Hinduism.**